

GY457: Applied Urban and Real Estate Economics

2025/2026

Autumn Term

Course Manager

Prof. Christian Hilber (CKK 4.22)

Office hours: To be booked via LSE Student Hub

Email: c.hilber@lse.ac.uk

Personal website: <https://sites.google.com/view/hilber/home>

Google Scholar: <http://tinyurl.com/opsnp7a>

Twitter: <https://twitter.com/ChrisALHilber>

Course Teacher in Autumn Term

Dr. Sara Bagagli (CKK 4.30)

Office hours: To be booked via LSE Student Hub

Email: s.bagagli@lse.ac.uk

Personal website: <https://sarabagagli.github.io>

Lecture and Seminar Times for the Autumn Term*

**times/locations may change throughout the year, please see online timetable for most accurate information*

Lectures (weeks 1-5, 7-11): Monday, 14:00-16:00

Additional lecture (week 5): Wednesday, 14:00-16:00

Seminars (weeks 3-4, 7-11):

Group 1: Wednesday, 10:00-11:30

Group 2: Wednesday, 14:30-16:00

Teaching Method

11 lectures (2 hours) and 7 seminars (1½ hours in 2 groups) during AT. 11 lectures (2 hours) and 6 seminars (1½ hours) during WT. Revision session at end of WT. For seminars, students are expected to regularly read key texts and to give presentation presentations when indicated by the seminar allocation.

Teaching Material

Handouts (lecture notes) are typically available prior to the lecture and can be downloaded from Moodle (<https://moodle.lse.ac.uk/> – see under GY457). Other relevant documents (syllabus, feedback-policy etc.) are available on Moodle as well.

Course Objectives and Requirements

The course aims to provide students with a theoretical and empirical understanding of urban economic processes and price determination in land and real property markets within an institutional context. The course is intended primarily for students of the MSc in Real Estate Economics and Finance Programme. It is assumed that students already have knowledge of economics equivalent to a good first degree in the subject. It is available as an option to students who can show that they are suitably qualified.

Assessment

Three hour (+10 minutes reading time) written examination in June (100%).

*Syllabus Autumn Term (Provisional)*¹

BLOCK 1

Topic 0: Introduction

Topic 1: Regional and urban concentration forces

Topic 2: The empirics of agglomeration

Topic 3: The costs and benefits of agglomeration

BLOCK 2

Topic 4: Monocentric city model I

Topic 5: Monocentric city model II

Topic 6: Firm location choice

BLOCK 3

Topic 7: The vertical dimension of cities

Topic 8: Neighborhoods and segregation

Topic 9: Suburbanization and gentrification

Topic 10: Measuring cities with new technologies

¹ The course makes use of material originally developed by Prof. Gabriel Ahlfeldt and is kindly used with permission.

Reading List

Note: Almost all readings, including books, are available at the library. Most readings are downloadable via [LSE's e-journals system](#).

To make your life easier:

- **Reading lists @ LSE** (managed by LSE library) provides the full list of readings by topic, including hyperlinks. These hyperlinks are either stable URL or DOI addresses that provide direct links to the electronic versions of papers (in pdf format) and e-books.
- Other **non-journal readings** unfortunately are not readily accessible via hyperlinks. However, we make other important texts (e.g., textbook chapters), for which (i) electronic versions exist and (ii) copyright is obtainable, available **on Reading lists @ LSE**.
- We also aim at making textbook chapters available on **Moodle**. Copyright law dictates that only one chapter of a textbook can be made available on Moodle at any point in time. However, over the course of the two teaching terms, all compulsory chapter-readings should become available in electronic form via Moodle.
- There are copies of some textbook texts in the Michael Wise Room, STC.314. References indicated as MWR (STC.314) can be read and copied there.

Note that this reading list is **provisional** in nature. A revised version may be handed out during the term.

I Main Textbooks

The course relies heavily on journal articles. We do not have *one* main text book but a number of readings are chapters from the following 'classic textbooks':

DiPasquale D., and W. Wheaton, 1996, [Urban Economics and Real Estate Markets](#), Prentice Hall, Englewood Cliffs (N.J.). Course Collection HD257 D59.

McDonald, J. F. & D. P. McMillen, 2011, [Urban Economics and Real Estate, Theory and Policy](#) (2nd Ed.), Blackwell.

O'Sullivan A., 2011, [Urban Economics](#) (8th Ed.), Irwin/McGraw-Hill. Course Collection HT321 O81.

Unfortunately, **DiPasquale D., and W. Wheaton**, 1996 is out of print in the UK and used copies may be hard to get. However, you can find the book in the library and we intend to make electronic copies of single chapters available on Moodle. (Notice, due to copyright law, only one chapter may be made available on Moodle at any point in time.) Other textbooks will also be used:

McDonald J., 1997, [Fundamentals of Urban Economics](#), Prentice Hall, Englewood Cliffs (N.J.). Course Collection HT321 M34. The book may make a worthwhile buy.

Bogart W. T., 1998, [The Economics of Cities and Suburbs](#), Prentice Hall, Englewood Cliffs (N.J.). Course Collection HT321 B66. This book is no longer available in the UK.

II Other Recommended Textbooks (*standard contemporary textbooks)

Brueckner, J.K., 2011, [*Lectures on Urban Economics*](#), MIT Press, Cambridge, MA. Course Collection HT321 B88. The book may make a worthwhile buy.

Mills E. S. & B. Hamilton, 1994, [*Urban Economics*](#) (5th Ed.), Harper Collins. Course Collection HT321 M65.

Ball M., C. Lizieri & B. MacGregor, 1998, [*The Economics of Commercial Property Markets*](#), Routledge. Course Collection HB711 B17.

Fujita, M. 1989, [*Urban Economic Theory. Land Use and City Size*](#), Cambridge. Course Collection HD111 F96 (advanced textbook).

O'Flaherty, B., 2005, [*City Economics*](#), Harvard University Press.

III Recommended Handbooks

Cheshire P. C. & E. S. Mills, 1999, [*Handbook of Regional and Urban Economics*](#), Vol. III: *Applied Urban Economics*, North Holland. Course Collection HT391.3 H23.

Henderson, J. V. & J. F. Thisse, 2004, [*Handbook of Regional and Urban Economics*](#), Vol. IV: *Cities and Geography*, Elsevier.

Duranton, G., V. Henderson & W. Strange, 2015, [*Handbook of Regional and Urban Economics*](#), Vol. 5, North Holland. Cambridge. (Hyperlink provides access to discussion paper versions of all chapters!)

IV Other Recommended Books

Glaeser, E. L., 2011, [*Triumph of the City: how our greatest invention makes us richer, smarter, greener, healthier and happier*](#), Penguin Press.

Fischel, W.A., 2015, [*Zoning Rules! The Economics of Land Use Regulation*](#), Lincoln Institute of Land Policy.

V Reading List by Topic

For convenience, it is recommended that the readings are accessed via *Reading lists @ LSE*, where hyperlinks to all readings are provided. References to core and additional complementary readings can also be found on the last page of the lecture handouts.

Seminars

The seminars will take place in two equally sized groups. Students are expected to participate actively during the seminars. The seminars will start on the third week of term and will take place weekly (with the exception of week 5).

During seminars, the main points of the lectures will be reviewed and some points may be re-explained on students' demand. Seminars take different forms: solution of exercises, presentation by students of key texts, discussions and debates on given topics, case studies etc. All student presentations are to be uploaded onto the GY457 Moodle page.

A good seminar will be interactive, i.e. presenters will engage with the audience. This requires that all students come prepared. A detailed description of the seminar task is provided in the respective [seminar outlines](#). These are [available on Moodle](#). Please read them carefully in preparation of the seminar.

Feedback Mechanism / Exam Preparation

In-person, written mock exam (3h+10 minutes) in week 8 of Winter Term. During the revision session in week 11 of Winter Term, the relevant course teacher will provide answer outlines to students who submitted the mock exam.

General Criteria for Marking Written Work

Explicit marking criteria are utilized to ensure assessment reliability and validity. The following 7 criteria are utilized to mark essays:

1. Presentation and Clarity of Expression

In a good essay, the presentation shows a polished and imaginative approach to the topic. Thoughts and ideas are clearly expressed. Grammar and spelling are accurate and a fluent academic writing style is applied.

2. Referencing

Referencing is consistently accurate using usual procedures.

3. Use of literature

Use of a wide range of sources, which have been thoroughly analyzed, applied, and discussed. The use of the literature has developed from own ideas. The use of the literature is justified.

4. Use of Theory

Assignment demonstrates integration and innovation in the selection and handling of theory.

5. Critical Analysis of Theory

Assignment consistently demonstrates application of critical analysis well integrated in the text.

6. Application of Theory to Practice

Theory applied to real world examples; topic applied to personal, social, and professional practice; practice relevant; innovative.

7. Conclusions

Clear conclusions well-grounded in analysis, theory and literature, showing developments of new concepts.

Check-List for Oral Presentations (Seminar Presentations)

1. Visual aids

Clarity	clear = +	confusing = -
Handling	adept = +	clumsy = -
Variety	much = +	none = -
Independence	much = +	over-reliant = -

2. Voice

Volume	appropriate = +	too loud / quiet = -
Intonation	varied = +	monotonic = -
Speed	paced = +	too slow / fast = -

3. Interaction

Gesture	appropriate = +	inappropriate = -
Eye contact	appropriate = +	inappropriate = -
Movement	dynamic = +	static = -
Countenance	friendly = +	hostile = -
Orientation	facing = +	hiding = -

4. Content

Narrative	structured = +	unstructured = -
Illustration	examples = +	none = -
Humour	appropriate = +	inappropriate = -
Creativity	original = +	unimaginative = -
Detail	relevant = +	irrelevant = -
Reflection	critical = +	descriptive = -
Involvement	enthusiastic = +	bored = -

5. Teamwork

Co-ordination	integrated = +	isolated = -
Emergency	helped = +	no help = -
Workload	equal = +	unequal = -

6. Answering questions

Quality	articulate = +	monosyllabic = -
Relevance	appropriate = +	inappropriate = -
New ideas	adaptable = +	dogmatic = -

Advice on How to Prepare and Give Short Presentations

Note: This advice has been prepared by Dr. Julian, Reader in Physics at Cambridge University, who has kindly given his permission for the wider use of the document.

Throughout your career in science or elsewhere, the only glimpse many people will have of you will be when you give presentations. Early in your career most of your presentations will be short, so you must be as effective as possible.

Before You Start Preparing

1. Think first of all about your audience, what do they already know about the subject of your talk?
2. What is the purpose of your talk? In other words, what do you want the audience to remember from your talk? You will be lucky if, one week later, any of them remembers *anything* you have said, so don't be too ambitious. Also, it is difficult to successfully communicate more than one or two key ideas in a 10-to-15-minute talk. Focus on conveying the most important information in a way that will be remembered.

Preparation

1. Make up a title that captures the main theme of the talk.
2. Organize the talk: divide it into Introduction, Main Body and Summary. Pay attention to the logical flow of ideas. Explain why your topic is interesting.
3. Design your slides. It will help if you sketch them first. Some rules:
 - don't put too much information on each one,
 - use large lettering (font size 24, preferably larger),
 - use black or dark colours - don't use yellow or mix red and green.
4. Rehearse your talk. *This is the only way to get the timing right*, which is important. Also, it ensures that you have the material straight in your mind. Thus, you can focus on your presentation, rather than trying to remember the material while speaking.

Giving the Talk

1. Speak clearly and not too quickly, avoid um's and ah's between words.
2. Don't drop your voice at the end of sentences.
3. Make eye contact with the audience. Facing the audience and pointing to the transparency may block the view of some people and/or expose shaking hands. If necessary, use a long pointer to point to the screen, but don't stand for long periods of time with your back to the audience.
4. Explain all jargon or, if possible, avoid it.

Controlling Nervousness

Everyone gets nervous speaking in public. It might be helpful to:

- memorize the first few lines of your talk;
- keep a list of keywords on a separate sheet of paper, or on a page behind each transparency;
- take a few deep breaths before you begin; .pretend you are talking to one person; relax and try to enjoy yourself!

Note on Handouts / Lecture Notes

- The handouts are typically designed as 'skeleton' lecture notes. They provide the 'bare bones' of the lecture. They are the absolute essentials such as key points, precise definitions, or difficult-to-draw graphs. Skeleton notes leave you to 'flesh out' the subject matter in your own words.
- The handouts are intended to free you from excessive note-taking so that you can take a more active part in the session. They are intended to help you to organize and reflect on course material.
- The handouts are by no means complete. Furthermore, reading handouts (lecture notes) without attending the lecture can be misleading. The handouts do not dispense you to do three things:
 1. Attend the lectures - Understanding lecture notes is much easier after the lecture
 2. Do the readings – Handouts can at best provide an overview and summary of a particular topic. Readings help you to reflect, question, and—finally—understand a particular subject matter.
 3. Reflect and think about the issues and the problems - This is the main objective of the handouts.
- As we assess analytical skills and critical independent thinking, do not reproduce lecture notes in exams, essays and dissertations (long essays). Reproducing lecture notes does not demonstrate your ability to think and to use what you have learned intelligently. It just demonstrates that you have a good memory.
- Finally, feedback on handouts / lecture notes is highly appreciated. Knowing what is unclear and could be improved helps us to improve the effectiveness of our teaching and the effectiveness of your learning.

Note on Plagiarism

What is plagiarism? Plagiarism ranges from unacknowledged borrowing of original ideas and citations to the wholesale copying of somebody else's work. In other words, plagiarism is at the same time a theft of intellectual property and cheating. Students found guilty of plagiarism can be expelled from the School.

AI Policy

You confirm by submitting any assignment for GY courses that you have not used any unauthorised form of generative artificial intelligence tool in the planning and writing of any formative or summative assessment. The Department uses the following principles to distinguish between authorised and unauthorised use:

The Department recognises that its students will want to use Generative AI to assist with ideas / understanding / essay structure, and within bounds this is acceptable.

- No AI generated text / content should be submitted as part of your assessments (whether summative or formative).